Board Conflict of Interest Policy and Annual Statement

Thank you for serving on our board. Sun Brewed Homestead Inc. ("the Homestead") is a charitable organization. This policy protects its interests when it considers a transaction that might benefit a director, officer or committee member ("interested person"), and each of us confirms it every year.

In plain words

- If you or your family could gain from something the Homestead does, tell the board first.
- Then step out: the other directors discuss and vote without you.
- List your interests below, and tell us if they change.

This summary is here to help. The numbered sections below are the agreement itself.

1. What counts. An interested person has a conflict of interest if they, or a family member, have a financial interest in, or a compensation arrangement with, any person or entity the Homestead transacts or may transact with, or compete with the Homestead for an opportunity. Family members are spouses and domestic partners, parents, children, siblings and their spouses.

2. Duty to disclose. An interested person must disclose any actual or possible conflict, with all material facts, to the board before it considers the matter, and whenever a new interest arises.

3. Procedure. After disclosing and answering questions, the interested person leaves the discussion and does not vote. The disinterested directors decide whether a conflict exists and, if so, may approve the transaction only if, after reasonable inquiry, they find by a majority vote of the disinterested directors present that it is fair and reasonable to the Homestead and in its best interest, and that a more advantageous arrangement could not reasonably be obtained. A self-dealing transaction under California Corporations Code § 5233 must also meet that section's requirements for approval.

4. Records. The minutes will record each disclosure, the board's decision on whether a conflict exists, who was present, and the vote.

5. Compensation and loans. A director who receives compensation from the Homestead, directly or indirectly, may not vote on matters relating to that compensation, and any compensation must be just and reasonable. Under California law, no more than 49% of directors may be "interested persons" as defined in Corporations Code § 5227, and the Homestead may not make loans to its directors or officers except as Corporations Code § 5236 allows.

6. Violations. If the board has reason to believe someone failed to disclose a conflict, it will give them a chance to explain and may take appropriate disciplinary and corrective action.

7. Annual statement. I affirm that I have received and read this policy, understand it, have complied with it, and agree to comply with it. I understand that the Homestead is charitable and, to keep its federal tax exemption, must engage primarily in activities that accomplish its exempt purposes. My current interests that could give rise to a conflict are listed below; I will update the board if they change. I agree to sign electronically, and my electronic signature binds me as if written by hand.

YOUR ROLE (DIRECTOR, OFFICER OR COMMITTEE)

INTERESTS TO DISCLOSE (OR "NONE")

Signed electronically. The signer must be 18 or older.

SIGNATURE

DATE

PRINTED NAME

EMAIL